

# Tesla 2018 Cloud Breach: A Case Study in IAM Privilege Escalation and Kubernetes Misconfiguration

Priyanshu Shekhar Choudhury

Registration No.: 12316252

Roll No.: 37

Lovely Professional University

Phagwara, Punjab, India

**Abstract**—In February 2018, security researchers at RedLock discovered that Tesla's Amazon Web Services (AWS) cloud infrastructure had been compromised through an unsecured Kubernetes administrative console. Attackers exploited the exposed console to steal AWS IAM credentials via the EC2 metadata service, exfiltrate sensitive vehicle telemetry data from Amazon S3, and deploy a cryptocurrency mining operation on Tesla's compute resources. This paper presents a structured case study of the Tesla 2018 cloud breach, analyzing the complete attack chain, root cause vulnerabilities, impact assessment, and mitigation strategies. The incident highlights the critical risks of cloud misconfigurations, overprivileged IAM roles, and the absence of runtime monitoring in modern cloud environments.

**Index Terms**—Cloud Security, IAM, Kubernetes, Cryptojacking, AWS, Privilege Escalation, Misconfiguration, Tesla Breach, RedLock, EC2 Metadata Service, S3, Real-World Attack

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## I. INTRODUCTION

Cloud computing has become the backbone of modern enterprise infrastructure, enabling organizations to scale rapidly while reducing operational costs. However, the adoption of cloud services introduces new attack surfaces that, if left unsecured, can be exploited by malicious actors. Among the most critical risks are misconfigurations in cloud management interfaces and improper handling of Identity and Access Management (IAM) credentials.

In February 2018, security researchers at RedLock discovered that Tesla, one of the world's most technologically advanced automotive companies, had fallen victim to a sophisticated cloud attack. Attackers exploited an unsecured Kubernetes administrative console to steal AWS IAM credentials and subsequently used Tesla's cloud infrastructure to mine cryptocurrency. This incident became one of the most referenced real-world case studies in cloud security.

This paper presents a structured analysis of the Tesla 2018 cloud breach, examining the attack chain, vulnerabilities exploited, impact assessment, and recommended mitigations to prevent similar incidents.

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## II. RELATED WORK

Cloud security incidents involving IAM misconfigurations and container orchestration platforms have been extensively documented in cybersecurity literature. The rise of cryptojacking — the unauthorized use of computing resources to mine cryptocurrency — emerged as a significant threat category in 2017 and 2018.

RedLock's Cloud Security Intelligence team has published multiple reports highlighting the dangers of unsecured cloud management consoles. Their research identified that a significant percentage of organizations expose sensitive cloud infrastructure to the public internet without authentication.

The OWASP Cloud Security project and the Cloud Security Alliance (CSA) both identify IAM misconfiguration and insecure interfaces as top threats to cloud environments. The Tesla breach serves as a textbook example of how a single misconfiguration can cascade into a full cloud infrastructure compromise.

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## III. BACKGROUND

### A. Kubernetes and Container Orchestration

Kubernetes is an open-source container orchestration platform used to automate deployment, scaling, and management of containerized applications. It exposes an administrative dashboard that allows operators to manage workloads, inspect running pods, and access cluster configurations. When left unprotected, this dashboard becomes a critical attack vector.

### B. AWS IAM and Metadata Service

AWS Identity and Access Management (IAM) controls access to AWS services and resources. EC2 instances can be assigned IAM roles that grant permissions to interact with other AWS services. The AWS metadata service, accessible at <http://169.254.169.254>, allows any process running on an EC2 instance to query the instance's IAM role credentials — a feature that can be dangerously abused if an attacker gains code execution on the instance.

### C. Cryptojacking

Cryptojacking is a cyberattack in which adversaries hijack victim computing resources to mine cryptocurrency without authorization. It is financially motivated and often goes undetected for extended periods because it does not destroy data — it simply consumes CPU and network resources, often while deliberately throttling usage to avoid triggering performance alerts.

#### IV. THE TESLA INCIDENT (2018)

##### A. Discovery

In February 2018, RedLock's Cloud Security Intelligence (CSI) team discovered the breach while conducting routine internet scans for exposed cloud infrastructure. They found Tesla's Kubernetes administrative console publicly accessible on the internet with no password protection whatsoever.

##### B. Attack Chain

The attackers executed a multi-stage attack leveraging the exposed console as the initial entry point. Table I summarizes the key steps of the attack chain.

| Step | Component    | Action                     |
|------|--------------|----------------------------|
| 1    | Kubernetes   | Access unsecured dashboard |
| 2    | AWS Metadata | Steal IAM credentials      |
| 3    | S3 Bucket    | Exfiltrate sensitive data  |
| 4    | EC2 Instance | Deploy crypto miner        |
| 5    | CloudFlare   | Hide malicious traffic     |

TABLE I. Tesla 2018 Cloud Attack Chain

##### C. Step-by-Step Attack Analysis

The attack unfolded in the following sequence:

1. Attackers discovered Tesla's Kubernetes dashboard exposed publicly on the internet with no authentication required.
2. Through the Kubernetes console, attackers gained access to running pod environments and inspected environment variables and configuration secrets.
3. Using access to an EC2 pod, attackers queried the AWS metadata service endpoint to retrieve temporary IAM role credentials associated with the instance.
4. With the stolen IAM credentials, attackers accessed Tesla's Amazon S3 buckets containing sensitive data including vehicle telemetry, mapping data, and test data.
5. Attackers deployed a cryptocurrency mining script on Tesla's EC2 compute instances, using the stolen resources to mine Monero.
6. To evade detection, attackers routed mining traffic through CloudFlare, used non-standard ports, avoided

public mining pools, and throttled CPU usage to stay below alerting thresholds.

#### V. VULNERABILITY ANALYSIS

##### A. Root Causes

The Tesla breach was not caused by a zero-day vulnerability or sophisticated exploit. Instead, it resulted from a combination of basic security misconfigurations:

- **Unauthenticated Kubernetes Dashboard:** The administrative console was exposed to the public internet with no password, violating the principle of least privilege.
- **Overprivileged IAM Roles:** EC2 instances were assigned IAM roles with excessive permissions, allowing broad access to S3 and other AWS services.
- **No Network Segmentation:** The Kubernetes management plane was not isolated from the public internet using VPC security groups or network policies.
- **Absence of Runtime Monitoring:** No anomaly detection was in place to flag unusual API calls, metadata service queries, or outbound network connections.

##### B. CVE and Vulnerability Classification

While no specific CVE was assigned to this incident, the vulnerabilities map to well-known weakness categories:

- **CWE-306:** Missing Authentication for Critical Function (Kubernetes dashboard).
- **CWE-250:** Execution with Unnecessary Privileges (overprivileged IAM roles).
- **CWE-284:** Improper Access Control (unrestricted metadata service access).

#### VI. IMPACT ASSESSMENT

##### A. Data Exposure

Attackers gained unauthorized access to Tesla's Amazon S3 buckets, which contained highly sensitive information including proprietary vehicle telemetry data, GPS mapping information, engineering test data, and internal system configurations. The exposure of this data posed significant risks to Tesla's competitive advantage and customer privacy.

##### B. Financial and Reputational Impact

The unauthorized use of Tesla's AWS EC2 compute resources for cryptocurrency mining resulted in unplanned cloud infrastructure costs. Additionally, the public disclosure of the breach damaged Tesla's reputation as a technology leader and raised concerns among customers and investors about the company's data security practices.

##### C. Response and Containment

Upon notification by RedLock researchers, Tesla responded swiftly and commendably. The company secured the Kubernetes console, rotated the compromised IAM credentials, removed the cryptocurrency mining malware, and hardened their cloud environment — all within one day of being notified.

## VII. MITIGATION AND RECOMMENDATIONS

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### *A. Kubernetes Security*

- Always enable authentication and Role-Based Access Control (RBAC) on the Kubernetes dashboard.
- Never expose the Kubernetes API server or dashboard directly to the public internet.
- Use network policies to restrict pod-to-pod and pod-to-external communication.
- Regularly audit Kubernetes configurations using tools such as kube-bench.

### *B. IAM Hardening*

- Apply the principle of least privilege — assign only the minimum permissions required for each IAM role.
- Use IMDSv2 (Instance Metadata Service v2) to require session-oriented requests to the metadata endpoint, preventing SSRF-based credential theft.
- Regularly rotate IAM credentials and monitor for unusual API activity using AWS CloudTrail.
- Enable AWS GuardDuty for automated threat detection across IAM, S3, and EC2 activity.

### *C. Monitoring and Detection*

- Deploy runtime security tools such as Falco to detect anomalous container behavior.
- Set up alerts for unusual outbound network connections, high CPU usage, and unexpected IAM API calls.
- Conduct regular cloud security posture assessments using tools like RedLock, Prisma Cloud, or AWS Security Hub.

## VIII. APPLICATIONS AND LESSONS

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The Tesla 2018 breach offers critical lessons applicable across all organizations using cloud infrastructure:

- Security misconfigurations are as dangerous as zero-day vulnerabilities and are far more common.
- Container orchestration platforms require the same security rigor as traditional infrastructure.
- IAM credential exposure via the metadata service is a well-known attack vector that must be explicitly mitigated.
- Cryptojacking attacks are designed to be stealthy — proactive monitoring is essential for detection.

- Responsible disclosure by security researchers plays a vital role in improving cloud security posture.
- Rapid incident response, as demonstrated by Tesla, can significantly reduce the overall impact of a breach.

## IX. CONCLUSION

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This paper presented a detailed analysis of the Tesla 2018 cloud security breach — a landmark real-world case study in cloud infrastructure attacks. The incident demonstrated that a single misconfigured Kubernetes dashboard, combined with overprivileged IAM roles and the absence of runtime monitoring, was sufficient for attackers to compromise a world-class technology company's cloud environment. The attack chain — from unauthenticated console access to IAM credential theft, data exfiltration, and cryptojacking — illustrates the cascading consequences of cloud misconfigurations. By understanding this incident in depth and implementing the recommended mitigations, organizations can significantly strengthen their cloud security posture and prevent similar breaches.